If Nifty doesn't rise over 24,600, falls, or stays at 24,500, you could lose the ₹100 premium. So, you are making a profit in only one out of three possible scenarios. However, the option seller can profit if Nifty doesn't exceed 24,600. So, they are making a profit in two out of three scenarios.

Nifty is trading at 24,500

Trader buys a call option at ₹100 premium

Breakeven point = 24,600

Case 1: If Nifty doesn't rise over 24,600

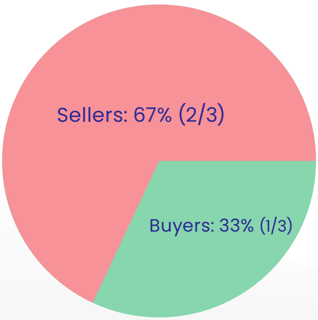
Option Seller makes profit

Case 2: If Nifty falls below 24,600

Buyer makes profit

Case 3: If Nifty stays at 24,500

Option Seller makes profit



So, the probabilities of profit for option buyers and sellers are as follows:

1.3. Puts and Calls

We mentioned earlier that you can categorise futures and options as puts and calls. Let us understand these concepts.

Criteria	Call	Put
Definition	Calls are contracts to **buy** an asset at a predefined price.	It is a contract to **sell** an asset at a predefined price.
When is it profitable?	Rise in market price › Premium paid	Fall in market price › Premium paid